

Price Action Essentials

Chapter 1: Support and Resistance

Support is a price zone where buying pressure has repeatedly stopped a decline.

Resistance is a zone where selling pressure has capped rallies. The more times a level is tested, the more significant it becomes, but each test also absorbs orders, so a level tested four or five times is more likely to break.

When support breaks, it often becomes resistance on the retest. This change of role is called polarity.

Chapter 2: Candlestick Patterns

A pin bar has a long wick and a small body; a bullish pin bar at support shows that lower prices were rejected. An engulfing candle fully covers the body of the previous candle.

Inside bars signal consolidation before a breakout. Always read candles in context: a hammer in the middle of a range means little.

Chapter 3: Trend and Moving Averages

An uptrend is a series of higher highs and higher lows. Draw a trendline connecting at least two swing lows. The 50 and 200 period moving averages act as dynamic support in a trend; a golden cross happens when the 50 crosses above the 200.

RSI divergence, when price makes a higher high but RSI makes a lower high, warns that momentum is fading.

Chapter 4: Risk Management

Risk no more than 1-2% of the account on a single trade. Place the stop loss beyond the structure that invalidates the idea, not at an arbitrary number of pips. Position size equals the account risk divided by the stop distance.

Aim for a reward to risk ratio of at least 2:1, and keep a trading journal to review every setup. Fibonacci retracement levels of 61.8% and 78.6% mark the optimal trade entry zone during a pullback.